

AUDIT OF PUBLIC ENTITIES



Audit of Public Entities

- When auditing a Public Entity, auditor has to audit two heads:
 - 1, Audit of Financial Statements
 - 2, Audit of Performance Information
- Audit of Financial Statements is done in normal manner.
- Audit of Performance Information means to audit & verify the claims of management in relation to its performance against Key Performance Indicators.

Exam

- Difference between Performance Audit & Audit of Performance Information
- Characteristics of a good KPI
- Procedures → same as audit Procedures

Difference between Performance Audit & Audit of Performance Information

- Performance Audit means that an Expert is hired to audit Performance of Company. Expert audits the Performance of Company and then reports performance of Company against agreed key Performance indicators. In Performance Audit management don't make any claim, rather Expert is required to Audit & then prepare a report on management's performance.
- In contrast in Audit of Performance information Management makes claims in relation to its own performance. These claims are called Performance information. Now Auditor will perform procedures to verify those performance claims. Aim of auditor is now to perform procedures and to gather evidences to verify those performance claims of Management.

Characteristics of a good KPI

1, Useful / Relevant

- It should show organization performance
- It should be in management control
- It should be meaningful.

2, Measurable

- It should not be a subjective KPI
- Performance against it should be quantifiable
- If Performance against KPI is measurable then only absolute meaning can be derived.

3, Existence :

- Organization must have systems in existence to measure performance against KPI
- Sometimes a particular KPI is measurable but Organization don't have system in existence to measure it.